ARTIST'S BRUSH, IDEALIST'S VISION

The task of a development finance institution is both difficult and complex. The road to development has many impediments and there are no signposts on the road. As a lending institution, a development bank has to follow the normal procedures for granting a loan such as adequate security, proper margins, and the like. For making investments, the institution has to satisfy itself not only about the viability of the project, but also consider if the conditions in the stock market will ultimately be able to absorb such investment. But in dealing with development projects, financial criteria are not enough. As Parekh observed, 'The development angle implies that the financial approach be tempered by considerations of social well-being—such as creating new employment, putting to use local resources and skills, substituting imports and promoting exports—which contribute to augmenting national wealth and raising the standard of living.'[11] The *raison d'etre* of a development bank is to further the cause of development and the nature of its banking activity has to be such that it assists this process. In this it differs from traditional financing institutions which are guided primarily by considerations of profit maximization. William Diamond went to the heart of the matter when he observed that a development bank was a profit-making but service-oriented institution.

Parekh himself was aware of the challenges of being a development banker. He observed, 'The words "development banking" brings out the essential conflict that faces the development banker in his job. While development connotes the risks involved in the function, 'banking' is, generally, associated with conservativeness in outlook. It would be for the development banker to choose his mix of the two in his operations. Essentially, the mix has to be based more in favour of development, in the newly-emerging countries, if development banks are to justify their existence.'[12]

Parekh called lending a dismal activity, cold-blooded in character, and requiring that hard-headed quality which is not associated with development. 'The passion needed for development is different in kind from the quality which, generally, goes with financing activity. To blend the two requires the artist's brush and the idealist's vision.'[13] Delicate situations have to be faced and difficult decisions have to be taken which need much